3.1 The Biggest Threats to Your Money: Inflation, Debasement, and the Loss of Purchasing Power

The current global economic climate is challenging, which can make it difficult to save. One factor contributing to this is inflation, a phenomenon that occurs when the value of money decreases over time. This means that even if you save more dollars now, it may not have the same purchasing power in the future, meaning that more money will actually buy you fewer things. Recognizing economic conditions and their impact on your personal finances will help you make informed decisions about saving and spending.

Purchasing power is the amount of goods or services that can be bought with a given amount of money.

1956 2020 2056

Let us begin with a realistic scenario to explain each term.

Jaime is a college student who lives in a small apartment. He works part-time at a coffee shop to pay for his living expenses and tuition. As soon as he began living independently, Jaime became a pro at managing his own **ledger**.

At the beginning of the year, he budgeted $10,000 for his living expenses, including rent, food, and other necessities.

Inflation is an increase in the general level of prices of goods and services in an economy over a period of time. When the general price level rises, each unit of currency buys fewer goods and services; consequently, inflation reflects a **reduction in the purchasing power of money** – a loss of real value in the medium of exchange and unit of account within an economy.

A **ledger** is a detailed record of all of your monetary transactions. Whether it's money you're earning or spending, a ledger helps you keep track of it all.